

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$254.53 ▼ 2.02%	12M Price Target \$295.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.75T
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AMZN: FTC Ad Lawsuit Spooks Tape, But Thesis Intact

WHAT HAPPENED

- Stock got hit -2% on an FTC lawsuit over ad practices — the Feds are claiming Amazon's ad business (which is now a \$60B+/year money-printer inside AMZN) has anti-competitive practices around how it ranks sponsored products. That's the reason for the two-day slide from \$266 to \$254.
- Bond yields grinding higher is compounding the pain — when the "risk-free" rate on government bonds goes up, big-cap tech gets re-priced lower because future profits are worth less today. Not AMZN-specific, but it's amplifying the drop.

WHY IT MATTERS

The FTC suit is annoying but probably not thesis-breaking — the ad business is ~7% of revenue but a huge chunk of profit growth, and worst case is a fine + some UI changes, not a breakup. What matters more: this is the SECOND major FTC action against AMZN (remember the 2023 retail monopoly case still grinding through courts), which tells you the current administration's antitrust posture toward Big Tech is still aggressive even in 2026. The unusual call buying at \$245-247.50 strikes tells me smart money thinks this dip gets bought — someone's betting the stock holds this level into September expiration. Cluster insider selling (Zapolsky dumped \$2.4M) is a mild yellow flag but not panic-worthy given Bezos' scheduled trust transfers.

POLICY & POLITICAL WATCH

The big one to watch: the FTC's ad-practices case is part of a broader "digital advertising transparency" push in Congress — there's a bipartisan bill floating that would force platforms to disclose ranking algorithms, which would hit AMZN, GOOGL, and META simultaneously. Separately, keep an eye on tariff policy — AMZN's third-party seller marketplace is disproportionately exposed to China imports, and any new tariff escalation compresses seller margins (and AMZN's take rate). On the positive side, the federal AI infrastructure spending is a direct AWS tailwind — the Anthropic-Lambda \$35B compute deal in today's news is exactly the kind of ecosystem money that eventually flows through AWS.

IS IT EXPENSIVE?

At ~37x forward earnings, you're paying \$37 for every \$1 of profit AMZN will make next year — that's not cheap versus the S&P at ~22x, but it's actually the LOW end of AMZN's historical range. The bull case: AWS margins are expanding as AI workloads scale, and ads are a 70%+ margin business growing 20%+. If you believe those two engines keep firing, this is a reasonable price; if you think AWS growth slows or the FTC forces ad concessions, it's fair-to-slightly-rich.

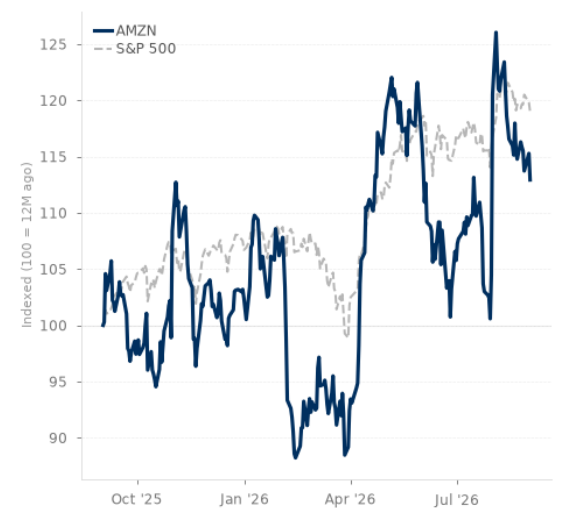
Key Data

Price (USD)	\$254.53
12M Price Target	\$295.00
Upside / (Downside)	+15.9%
Market Cap	\$2.75T
FY2026E Revenue	\$743M
FY2027E Revenue	\$820M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$240.00
6 Months	\$305.00	\$280.00	\$235.00
1 Year	\$330.00	\$295.00	\$225.00
2 Years	\$380.00	\$330.00	\$220.00
5 Years	\$500.00	\$420.00	\$250.00
10 Years	\$750.00	\$600.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3.7% over 5 days) — geopolitical premium plus tight supply. Defensive rotation vibes in Staples and Utilities holding up okay on a rough tape.

COOLING OFF: Real Estate (-2.7%) and Healthcare (-2.4%) getting hit by the yield backup — when 10-year yields rise, rate-sensitive sectors bleed. Tech/Comm Services also weak as multiples compress.

ROTATION WATCH: Money is quietly rotating OUT of long-duration growth (tech) and INTO energy and defensives as bond yields signal "higher for longer." That's a headwind for AMZN's multiple even if fundamentals are fine.

RELATED PLAY: If you like the AI-cloud thesis but want less regulatory hair, look at ORCL or the data center REITs (EQIX, DLR) — same tailwind, different risk profile.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy is the only green sector — oil supply constraints and geopolitical premium
- GOOGL (Alphabet): Holding up better than AMZN today despite similar ad-tech regulatory risk — market's decided AMZN is the FTC target-of-the-week

AMZN CONTEXT: AMZN is lagging its mega-cap peers today specifically because of the FTC headline. This is stock-specific weakness, not a sector-wide flush — which actually makes it a better setup for a bounce once the news gets digested.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid buy on the dip, not a table-pounder given the regulatory overhang and yield pressure on multiples.

POSITION SIZE: 4-6% of portfolio — this is a core holding, but leave room to add if it flushes to \$240.

ENTRY POINTS: Scale in here at \$254, add at \$245, back up the truck sub-\$240. Don't chase above \$270 until FTC clarity.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q3 earnings (late October) showing AWS growth accelerating.

WHEN TO BAIL: AWS growth prints below 15%, or the FTC case escalates to demanding structural separation of ad and retail businesses.

HEDGING: If you're nervous about the whole tech complex getting re-rated on yields, pair this with an energy name or just keep 10% cash to add on dips. For active hedgers, buying October \$240 puts costs you a little insurance premium against a bad Q3 print.